

Key Information Document (KID)

Mœba Protocol – Hybrid Parametric Insurance Vaults (HPIV)

Purpose

This document provides you with key information about this investment product. It is not marketing material. The information is required by law to help you understand the nature, risks, costs, potential gains, and losses of this product and to help you compare it with other products.

Product Overview

Name: Mœba Protocol HPIV (Junior & Senior Tranches)

Issuer: Mœba Protocol (Swiss-compliant ISPV framework)

Asset Class: Tokenized Parametric Insurance-Linked Securities (ILS) / Digital Assets

1. What is this product?

Type: This product consists of digital tokens (ERC-4626 and ERC-20 standards) deployed on Ethereum and EVM-compatible blockchains. These tokens represent fractional investments in a Hybrid Parametric Insurance Vault (HPIV).

Objectives & Scope: The objective of the Vault is to generate yield by providing fully collateralized parametric insurance capacity to professional sponsors. While traditionally associated with Natural Catastrophe Bonds (Cat Bonds), Mœba Protocol Vaults are designed to cover **any data-driven parametric risk**. This includes, but is not limited to:

- Extreme weather events (hurricanes, earthquakes).
- Cyber-security breaches and network outages.
- Supply chain disruptions or business interruptions.

The payout mechanism is purely objective: if a predefined threshold is met and verified by an independent decentralized oracle, the Vault automatically releases funds to the insured party.

The "Soft Default" Mechanism: Mœba Protocol utilizes a multi-tranche architecture to absorb losses hierarchically:

1. **Sponsor First Loss:** The insurer's initial deposit is consumed first.
2. **Premium Reserve:** Undistributed yields act as a buffer.
3. **Junior Tranche:** Investors seeking higher yields absorb the subsequent losses.
4. **Senior Tranche:** Investors are impacted only if all lower tranches are completely exhausted.

2. What are the risks and what could I get in return?

Risk Indicator: The summary risk indicator is a guide to the level of risk of this product compared to other products.

- **Senior Tranche Risk:** 4 out of 7 (Medium-High)
- **Junior Tranche Risk:** 7 out of 7 (Highest Risk)

 **WARNING: RISK OF TOTAL LOSS** This product does not include any capital protection against market risk or parametric trigger events. **You could lose some or all of your initial investment.** If a

catastrophic event triggers the oracle, the smart contract will automatically transfer your funds to the insured party.

Other Material Risks:

- **Smart Contract Risk:** While the protocol is designed with security in mind, blockchain technology is subject to hacking, bugs, or exploits.
- **Oracle Risk:** The system relies on third-party data providers. Erroneous data could lead to an unwarranted payout.
- **Liquidity Risk:** Although Mœba Protocol aims to support a permissioned secondary market, there is no guarantee you will be able to sell your tokens before the maturity date.
- **Regulatory Risk:** Digital assets and decentralized finance (DeFi) are subject to evolving regulatory frameworks.

3. What happens if Mœba Protocol is unable to pay out?

Mœba Protocol operates as a decentralized, non-custodial infrastructure. The Vaults are "Fully Funded," meaning the maximum possible loss is locked in the smart contract from day one. However, your investment is **not** covered by any investor compensation or guarantee scheme (e.g., esisuisse). You bear the full credit risk of the underlying parametric event.

4. How long should I hold it and can I take money out early?

Recommended holding period: Until the maturity date of the specific Vault (typically 6 to 36 months). Your funds are locked during the "Active" phase of the Vault to guarantee the insurance coverage. Withdrawals are only permitted if the Vault is in the "Open" (subscription) or "Matured" phase. Early exit is only possible if you find a buyer on a compliant secondary market who has passed the required KYC checks.

5. Compliance and AML (Anti-Money Laundering)

To comply with Swiss financial regulations, transferring or holding these tokens requires identity verification (KYC). Tokens cannot be transferred to unverified wallets.